Lecture 6 - ESG, Regulation and the Future of Urban Development

Lecturer notes, slide by slide

With activities, student questions and model answers

Deck	ASM_Lecture 6_ESG Regulation and Future Urban Development_revised.pptx
Slides	27 - numbering matches the revised PowerPoint
Lecturer	Jenan Hussein
Revision	5 October 2026; content and visual approach adapted from approved Lecture 1
Teaching use	Read the summary first, then keep the slide cards beside you. Say gives the explanation; Ask and Tip support delivery.

What changed

Seven focused objectives; clearer links to business decisions; the original six-part sequence, cases and activities; corrected qualifications where benefits or rules were too absolute. Full teaching notes are also embedded in the PowerPoint.

Seminar connection

Seminars 5 and 6 (group sustainability plan, and final presentations). The ESG-indicator exercise gives groups the last building block of their paper; the final discussion is a rehearsal for defending their proposals.

1. The lecture at a glance

The big idea

ESG links environmental, social and governance issues to organisational decisions and investor questions. The first half distinguishes reporting scope, ESRS content, double materiality and evidence, then applies them to a GI project. The second half separates EU policy frameworks from applicable legal duties and compares possible financing routes. The final Prague 2035 discussion is a proposal exercise: students must support an action, owner, funding route and measurable outcome with evidence.

Learning outcomes

1. Explain ESG and the limits of investor ratings.
2. Distinguish CSRD, ESRS and double materiality.
3. Design GI indicators with evidence and accountability.
4. Map the EU rules relevant to a company and its projects.
5. Compare finance options using eligibility, costs and reporting.
6. Assess nature-positive and smart development proposals.
7. Defend a Prague 2035 proposal using evidence from the course.

Words to explain early

Term	Plain-language meaning
ESG	Environmental, social and governance issues used in organisational and investment assessment.
CSRD	The EU sustainability-reporting directive. Check the entity, group, reporting year and applicable national rules.
ESRS	European Sustainability Reporting Standards, which set reporting requirements.
Double materiality	Assessment of impact materiality and financial materiality. Either perspective can make a matter material.
Limited assurance	An assurance engagement with a lower level of assurance than reasonable assurance; it is not the same as a financial-statement audit.
Omnibus I	The 2026 EU amendment narrowed the main CSRD scope; apply its thresholds together with transition and national rules.
EU Taxonomy	A classification with criteria for environmentally sustainable economic activities; eligibility and alignment differ.
European Green Deal	An EU policy framework implemented through strategies and legal instruments.
Nature Restoration Regulation	EU restoration obligations for Member States, including urban-ecosystem targets with defined boundaries and exceptions.
Green bond	Debt whose proceeds finance or refinance eligible environmental projects, with allocation and impact reporting.
Stranded asset	An asset that loses expected value early, for example because of transition or physical risks.
Nature-positive and TNFD	Nature-positive describes a recovery ambition; TNFD is a framework for nature-related risks, dependencies, impacts and opportunities.

Timing plan

These are the original suggested block allocations, retained for planning. Adjust them to your actual teaching slot. Individual slide timings are approximate; do not add them to the block totals.

Block	Slides	Minutes
Welcome, objectives, agenda	1-3	8
Part 1 - The ESG framework	4-6	20
Part 2 - Reporting and materiality	7-8	15

Block	Slides	Minutes
Part 3 - Green Infrastructure in ESG	9-11	15
Practical exercise: ESG indicators	12	30
Break	13	15-20
Part 4 - The European regulatory landscape	14-16	20
Part 5 - Sustainable finance	17-18	12
Part 6 - Future trends	19-21	15
Final discussion: Prague 2035	22	20
Course wrap-up, key messages, thank you	23-26	15

Before class

Have the exam format and the seminar-paper deadline ready for slide 23 - students will ask. Check the CSRD thresholds once more before class (over 1,000 employees and €450 million turnover after the 2026 Omnibus) - this area changed recently. Optional: look up one Czech company's sustainability report (a bank or energy company) to show what a CSRD report looks like on slide 8.

Use the revised deck named on this cover. Confirm the timetable, seminar deadline and assessment details with the course organiser. Distinguish classroom assumptions from observed results.

Regulatory references were checked on 5 October 2026. For a real company or advertisement, confirm the applicable national rules and reporting year.

2. Slide-by-slide notes

Slide numbers and titles match the revised deck. These are suggested words and prompts, not a script to read verbatim.

01 Applied Sustainability in Business and Management (1 min)

Say: Welcome to the last lecture. Say that today you connect everything to the two forces that make sustainability compulsory: investors and the law. And you finish with the future of Prague.

02 Learning Objectives (3 min)

Say: Read the seven objectives. Connect each to a decision a manager needs to make. The first half introduces the tools and business problem; the second half applies them to the cases and activities. Students will use the same tools for their Prague semester site.

03 Today's Lecture Agenda (2 min)

Say: Six parts, an exercise before the break, the Prague 2035 discussion and the course wrap-up at the end.

04 Part 1 - The ESG Framework (1 min)

Say: Announce the part.

05 What is ESG? (8 min)

Say: ESG is a lens investors use. Three pillars. Environmental: climate and emissions, water and resources, biodiversity and land use. Social: employees and communities, health and safety, human rights. Governance: board oversight, transparency and ethics, stakeholder rights. Say that ESG is not the same as sustainability - it is sustainability seen from the investor's chair: which of these could cost us money?

06 Why Investors Care (10 min)

Say: Environmental and social issues can affect cash flow, disruption and reputation. Investors use different ESG approaches, so a rating is not a universal sustainability verdict or a guaranteed financing discount. Ask students to examine what a rating actually measures.

Ask: Can a company manage its financial risks well while still causing serious harm?

07 Part 2 - Reporting and Materiality (1 min)

Say: Announce the part.

08 CSRD, ESRS and Double Materiality (14 min)

Say: Separate scope, content and evidence. The 2026 amendment narrows the main EU-company reporting scope, while group, non-EU, transition and national rules need separate checking. ESRS describe the reporting content. Limited assurance on sustainability statements is different from the reasonable assurance normally associated with a financial-statement audit. For materiality, assess both directions; a matter can be material from either one.

Tip: Use the dated official sources below and check the specific company and reporting year before making a compliance judgement.

Source references: see the source list at the end of this guide.

09 Part 3 - Green Infrastructure in ESG (1 min)

Say: Announce the part.

10 How GI Shows Up in Each Pillar (7 min)

Say: Take a green roof or a company park and walk through the pillars. E: carbon stored, stormwater managed, biodiversity gains (this is exactly what ESRS E4 asks for), climate adaptation of the asset. S: community wellbeing, employee health, access to green space, heat protection for vulnerable people. G: stakeholder participation, transparent monitoring, partnerships with the city and NGOs. One project, three pillars.

11 GI in a Company Sustainability Report (6 min)

Say: A photograph is evidence of an asset, not of its impact. The report needs an appropriate baseline, measurements, methods and controls. A project may be relevant to adaptation or biodiversity disclosures when material, but it does not automatically satisfy ESRS or offset unrelated impacts.

Ask: What would an independent reviewer need to verify this claim?

Source references: see the source list at the end of this guide.

12 Practical Exercise: ESG Indicators (30 min)

Say: Project groups imagine a company investing in a GI project at their site and define three E indicators, two S, two G, and one honest sentence for the annual report. Details in section 3. This is the last building block of the seminar paper.

13 Break (15-20 min)

Say: After the break: the law above the reports, the money, and the future.

14 Part 4 - The European Regulatory Landscape (1 min)

Say: Announce the part.

15 The European Green Deal (10 min)

Say: Distinguish policy strategies from binding legal acts. The Nature Restoration Regulation sets Member State obligations, including no net loss by 2030 in specified national urban-green-space and tree-cover measures against 2024, with stated exceptions, then increasing trends. Do not translate this into an identical no-net-loss rule for every individual development. A company must check the applicable local and project requirements.

Source references: see the source list at the end of this guide.

16 EU Rules and Company Decisions (8 min)

Say: The company first determines which obligations apply. Taxonomy eligibility is not the same as alignment, and a taxonomy classification is not an operating permit. CSRD reporting and consumer claims are separate duties. Directives need national transposition; EU regulations generally apply directly, with national enforcement arrangements. The CSRD section earlier in this lecture is Part 2, not Part 1.

Source references: see the source list at the end of this guide.

17 Part 5 - Sustainable Finance (1 min)

Say: Announce the part: follow the money.

18 Finance for a GI Investment (10 min)

Say: A green bond directs proceeds to eligible projects and involves allocation and impact reporting. It does not mean every project is automatically verified. A sustainability-linked loan changes agreed terms according to performance; the result can include penalties. Grants and EU programmes depend on current calls, eligibility and timing.

Ask: Who can borrow or apply, how will a park repay debt, and which costs must a business or city cover?

Source references: see the source list at the end of this guide.

19 Part 6 - Future Trends (1 min)

Say: Announce the part.

20 Where Urban Development is Heading (6 min)

Say: Present these as approaches and ambitions, not universal legal requirements or guaranteed predictions. Nature-positive proposals need a baseline and evidence of recovery; regenerative projects restore damaged systems; smart management uses data where it improves operations. TNFD is a nature-related disclosure framework, not a biodiversity sensor.

21 The Decade of Urban Nature (6 min)

Say: This is a 2035 scenario for debate, not a forecast proven by the course. Ask what evidence would show that climate resilience affects a company’s location choice, and weigh it against costs, infrastructure, customers and skills.

22 Final Discussion: Prague 2035 (20 min)

Say: Groups argue for a Prague 2035 proposal using evidence from the course. Distinguish documented assets and policy frameworks from possible gaps that need investigation. Ask each group to name an action, a responsible organisation, a funding route and a measure of success. Retain the 20-minute discussion format.

23 Course Wrap-Up (8 min)

Say: What students can now do: analyse how business, city and nature interact; use SWOT, stakeholder mapping, KPIs, LCA and ESG as working tools; propose GI solutions grounded in real policy. Before the exam: the seminar paper deadline (check the project brief for the structure) and the exam - a written test plus an oral part covering all six lectures. Say the dates out loud and answer questions about the exam now.

24 Key Messages (4 min)

Say: Work through the eight messages. Ask students to connect each to a decision, example or tool from this lecture. Distinguish potential benefits from measured results.

25 Recommended Reading (2 min)

Say: EFRAG's ESRS E4 is the biodiversity reporting standard; TNFD is the nature-risk framework. Both are free online.

26 Thank you - and good luck with your projects! (5 min)

Say: Thank the students. Remind them of Seminar 5 (group plan) and Seminar 6 (presentations). Take final questions.

27 Image credits

Say: No need to show.

3. How to run the class activities

Practical Exercise - ESG Indicators for a GI Project at Your Site (slide 12, 30 minutes)

1. Project groups. Scenario: a company (a developer, a hotel, a bank branch, an office owner near the site) invests in a Green Infrastructure project at the group's semester site. Let each group choose the company.

2. 10 minutes: three E indicators with units and data sources (for example t CO2 sequestered per year from i-Tree; m3 of rain retained from design data; species count from a yearly survey).

3. 7 minutes: two S indicators - who benefits and how it is measured (residents within 300 m; a wellbeing survey of employees). Two G indicators - who decides and who verifies (a stakeholder committee meeting quarterly; an external auditor).

4. 5 minutes: one sentence for the company's annual report. It must be specific, evidenced and free of greenwashing - apply the four rules from Lecture 5.

5. 8 minutes: groups read their sentence aloud. The room votes: what evidence is missing, and which reporting or consumer-claims rules would need checking?

Watch for: Groups write G indicators that are really E or S. Governance is about decisions and control: who is accountable, how is it monitored, who checks.

Final Discussion - Prague 2035 (slide 22, 20 minutes)

1. Put the question on the board: 'Can Prague be one of Europe's leading Green Infrastructure capitals by 2035?'

2. 5 minutes: each project group prepares one argument for 'yes' and one for 'no', each backed by something from the course (a case, a tool, a law).

3. 10 minutes: go round the groups. Write arguments in two columns. Push for evidence: 'which lecture, which case, which number?'

4. 5 minutes: ask each group to say one concrete action Prague should take first. Close by saying that their seminar papers are exactly such actions, for one site each.

Watch for: The discussion drifts to complaints about the city. Bring it back to business: what would a company do, and what would it earn?

Business decision prompt

For each proposal, ask students to name the payer, operating owner, affected stakeholders and one measurable outcome. Use assumptions openly when data is unavailable.

4. If a student asks

Is ESG dead? I read that companies are dropping it.

The word is politically contested, especially in the US, and the EU reduced the number of companies that must report. But the substance - climate risk, biodiversity, data subject to assurance - is still in law and in investors' questions. The name may change; the questions stay.

Does the CSRD apply to a Czech company with 300 employees?

Employee count alone is not a complete legal scope test. A stand-alone company with 300 employees is below the main employee threshold in the 2026 EU amendment, but group, transition and national application rules must be checked. Customers may request proportionate information even where a company is not directly in scope.

What is the difference between ESG and the SDGs?

The SDGs are goals for the world, set by the UN. ESG is a way for investors to judge a company. A company can use the SDGs to say what it wants to achieve and ESG data to prove how it manages risks.

Is a green bond cheaper than a normal loan?

Sometimes pricing differs, but a green label does not guarantee a lower rate. Compare market conditions, credit risk, eligibility, reporting costs and repayment terms. Access to suitable investors may matter as much as the interest rate.

What is on the exam?

Everything in the six lectures, with emphasis on the tools: Triple Bottom Line, ecosystem services, R-ladder, scopes 1-3, materiality, KPIs, LCA and the functional unit, the power- interest grid, greenwashing rules, ESG pillars and double materiality, and the Green Deal instruments. The student question banks in these notes are a good preview.

5. Questions with model answers

Use these for discussion, homework or test preparation. Model answers are short examples; other well-supported answers can also be valid.

1. Name the three ESG pillars and give two example topics for each.

Recall

Model answer: Environmental: climate and emissions, water and resources, biodiversity and land use. Social: employees and communities, health and safety, human rights. Governance: board oversight, transparency and ethics, stakeholder rights.

2. Why do investors use ESG? What is the main criticism of ESG ratings?

Understand

Model answer: Investors use ESG information to examine risks and opportunities that can affect value. Ratings use different scopes and methods and can disagree. A rating does not guarantee a positive real-world impact or cheaper capital.

3. Explain the CSRD, the ESRS and double materiality in one or two sentences each.

Recall

Model answer: CSRD sets sustainability-reporting obligations for companies within scope, subject to entity, group, timing and national rules. ESRS set the content requirements. Double materiality considers impacts and financial effects; either can make a matter material. Statements are subject to limited assurance, distinct from a normal financial-statement audit.

4. Is a high ESG score the same as being sustainable? Argue both sides briefly.

Understand

Model answer: A high score may indicate strong management of the issues measured by that provider. It is not a universal verdict on sustainability: methods differ, some focus on risk to the company, and reporting quality can differ from actual outcomes. Read the methodology and compare impact evidence.

5. Show how a company's new green roof appears in each of the three ESG pillars, with one indicator per pillar.

Apply

Model answer: E: rain retained (m3/yr) or annual carbon sequestration (kg CO2/yr). S: employees using the roof garden or a wellbeing score. G: a published monitoring report verified by an external party, or a stakeholder committee that oversees it.

6. Why does Green Infrastructure 'report well' under ESG, and what is the caution?

Understand

Model answer: GI can produce relevant environmental, social and governance evidence, but a photograph only proves an installation exists. Use a baseline, methods, outcomes, maintenance records and accountability. Reporting depends on materiality and applicable requirements; a small project cannot cancel larger unrelated impacts.

7. Name four instruments under the European Green Deal that matter for cities and say in one sentence what each does.

Recall

Model answer: Fit for 55 comprises climate legislation. The Biodiversity Strategy sets policy direction. The Nature Restoration Regulation sets binding Member State restoration obligations, with specific urban-ecosystem targets and exceptions. The Adaptation Strategy supports resilience policy. Distinguish strategies from laws and national or project application.

8. List the 'compliance stack' a large EU company faces and explain the sentence 'regulation converts sustainability from choice to licence to operate'.

Understand

Model answer: Determine applicable CSRD reporting, relevant EU Taxonomy disclosures or criteria, consumer-claims requirements and Czech implementation or project rules. Eligibility is not alignment, and taxonomy alignment is not a universal licence to operate. A manager needs an obligations register, responsible owners and evidence.

9. Describe three sustainable-finance instruments and say which one you would recommend for a new Prague riverside park, with a reason.

Apply

Model answer: Green bonds allocate proceeds to eligible environmental projects and require reporting. Sustainability-linked loans link terms to agreed targets. Grants and EU programmes depend on calls and eligibility. For a riverside park, compare a suitable grant, budget funding or eligible debt, including who applies or borrows and how debt is repaid. No instrument is automatically cheaper.

10. What do 'nature-positive', 'regenerative' and 'smart ecosystems' mean for the cities of 2035? Give one example of each.

Recall

Model answer: Nature-positive is an ambition to contribute to nature recovery. Regenerative projects aim to restore systems such as soil or habitat. Smart management uses data where it improves operations, such as an irrigation pilot. These are approaches to evaluate, not guaranteed universal rules for 2035.

11. Can Prague become one of Europe's leading Green Infrastructure capitals by 2035? Give two assets, two frameworks and two gaps, and take a position.

Apply

Model answer: Assets: river corridor, wooded valleys and large parks. Frameworks: Climate Plan 2030, Adaptation Strategy, EU funding. Gaps: smart management and data, business engagement, pace of delivery. Any position is acceptable if it uses evidence from the course; strong answers name a first concrete action.

Handout version: questions only

1. Name the three ESG pillars and give two example topics for each.

2. Why do investors use ESG? What is the main criticism of ESG ratings?

3. Explain the CSRD, the ESRS and double materiality in one or two sentences each.

4. Is a high ESG score the same as being sustainable? Argue both sides briefly.

5. Show how a company's new green roof appears in each of the three ESG pillars, with one indicator per pillar.

6. Why does Green Infrastructure 'report well' under ESG, and what is the caution?

7. Name four instruments under the European Green Deal that matter for cities and say in one sentence what each does.

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Source list for revised passages

Checked 5 October 2026. These sources support the revised passages; the original recommended reading and image credits remain in the deck. Company material is identified as company-reported evidence.

1. www.consilium.europa.eu - slides 8, 16

https://www.consilium.europa.eu/en/press/press-releases/2026/02/24/council-signs-off-simplification-of-sustainability-reporting-and-due-diligence-requirements-to-boost-eu-competitiveness/

2. knowledgehub.efrag.org - slides 8, 11

https://knowledgehub.efrag.org/eng/interactive/ig/ig1/09-2025/75

3. eur-lex.europa.eu - slides 8

https://eur-lex.europa.eu/eli/dir/2026/470/oj/eng

4. environment.ec.europa.eu - slides 15

https://environment.ec.europa.eu/topics/nature-and-biodiversity/nature-restoration-regulation_en

5. eur-lex.europa.eu - slides 16

https://eur-lex.europa.eu/eli/dir/2024/825/oj/eng

6. finance.ec.europa.eu - slides 16

https://finance.ec.europa.eu/sustainable-finance/tools-and-standards/eu-taxonomy-sustainable-activities_en

7. www.icmagroup.org - slides 18

https://www.icmagroup.org/sustainable-finance/the-principles-guidelines-and-handbooks/green-bond-principles-gbp/